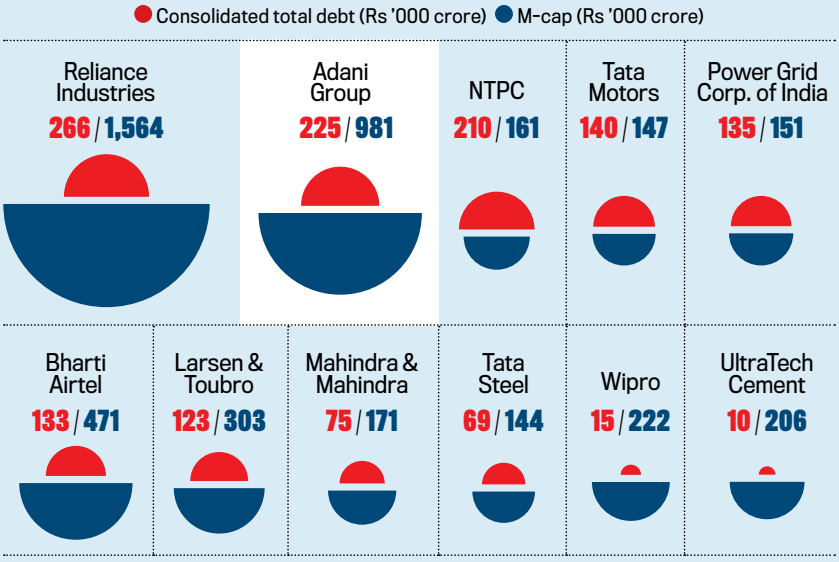
HOW THEY STACK UP

The Adani Group is not far behind Reliance Industries, the other major Indian conglomerate, in terms of debt



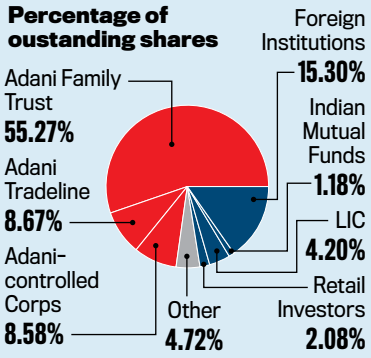
₹2 LAKH CRORE
Adani Group's total debt (approx.)

₹27,000 CRORE
SBI's exposure to Adani group

₹35,917 CRORE
LIC's holding under equity and debt in Adani

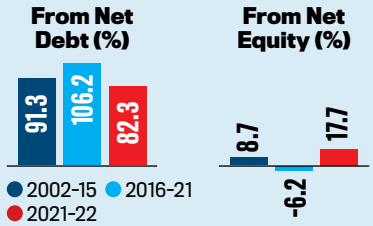
FAMILY FIRST

Promoters hold close to the Sebi-stipulated 75% in some group firms, as is the case with Adani Enterprises



DRIVEN BY DEBT

Much of the funding for Adani Enterprises has come from debt



Source: Ace Equity, aswathdamodaran.blogspot.com

the group's shares apart from its investments from offshore companies in tax havens need to be looked into."

Other experts seem to back this assessment. Two days after the Hindenburg bombshell exploded, a report by global brokerage CLSA noted that the Adani Group's gross debt in FY22 was Rs 2.2 lakh crore. Of this, bank debt (term loans, working capital and other facilities) formed just 38 per cent of total debt, while bonds/commercial paper (CP) constituted 37 per cent. Another 11 per cent came from borrowing from financial institutions, and the remaining 12-13 per cent through inter-group lending. "Within this," the report pointed out, "private banks' exposure is below 10 per cent of the total group debt and most banks have indicated that they have largely financed assets with strong cash flows, such as ports/airports. PSU banks do have material exposure, but this debt has not increased in the past three years." In fact, Gautam Adani, in his interview to INDIA TODAY last December, pointed out that the group had been steadily paring down its borrowings from Indian banks, reducing them from 86 per cent of the group debt nine years ago to 32 per cent now. Almost 50 per cent of the group's borrowings, he added, were through international bonds and they would have subscribed only after due diligence. This has, in many ways, assuaged any panic from the investors over the falling values of his shares.

Public sector financial institutions, particularly the LIC and SBI, were quick to point out that their exposure to the Adani Group was below 1 per cent of their total lending and backed by collaterals. LIC, in a statement on January 30, said its holding under equity and debt in the group was Rs 35,917 crore and assured that the credit rating of all Adani debt securities it held was in compliance with Insurance Regulatory and Development Authority of India investment regulations. SBI, meanwhile, said it has an exposure of Rs 27,000 crore. "Whatever banks like us have lent (to Adani) is a very, very small component of our total loan book," clarified SBI chairman Dinesh Kumar Khara. "This is all supported by physical, cash-generating assets and we have never seen any default in the past." Sources in the Indian mutual funds industry say they have no investment in Adani shares, which is why a large number of retail investors have been spared the impact of Adani share prices falling. "That's because local investors do not have the confidence in the Adani Group. Most asset manage-